Extract 6: Information failure in the market for international air travel

One of the principles of market economics is that consumers as decision-makers receive full and accurate information about the markets in which they are seeking to spend their limited resources. Good information is therefore critical if markets are to work efficiently.

Recent research by the UK's Behavioural Insights Team (BIT) has investigated ways in which television programmes can encourage people to be more environmentally friendly. This research aims to come up with ways to change people's attitude and actions by making small changes to their lives. Consumers are discouraged from taking long-haul flights by television programmes that show how carbon emissions from international air travel contribute to the climate crisis.

The BIT report suggested that 63% of all future emissions were in one way or another behavioural. In particular, the report stressed the need to change attitudes to the way in which people travel. It was reported that if at least one in ten television viewers in the UK avoided taking just one medium-length flight, a significant 258m tonnes of CO_2 emissions could be saved. Researchers believe that television programmes can educate and inspire people to change their behaviour to encourage sustainability.

Source: Evidence-based guide for broadcasters, Behavioural Insights Team, 2021

Extract 7: Tourism multipliers in selected countries in Asia

Over many years, academic research has investigated the economic impact of tourism on a country's economy. Such studies have involved the collection of masses of data, usually to estimate the size of the multiplier when measured in terms of income, output or employment. Estimating the value of multipliers is difficult and there are sometimes significant differences in values between seemingly similar economies.

The tourism multiplier is a specific application of the usual multiplier process. Tourist spending, for example, can have successive magnified influences on a host country's economy following an initial injection of spending by tourists.

Estimates of the size of the multiplier vary widely between countries. For Singapore, the tourism multiplier has been estimated to be 2.11; in Malaysia this multiplier has been estimated to be 1.97. Elsewhere, in Indonesia, projects centred on a tourist village produced an estimated local tourism multiplier of 2.57. Outside of ASEAN but still in Asia, tourist projects centred on a Buddhist temple in Uzbekistan produced a local tourism multiplier of 2.85.

Source: Travel & Tourism Development Index 2024, World Economic Forum, 21 May 2024

Extract 8: Tourist taxes – what are they and do they work?

An increasing number of destinations around the world are introducing tourist taxes. These taxes aim to raise funds to reduce the negative effects of mass tourism and to control visitor numbers. They are controversial and far from ideal but are a response to tourist numbers that exceed the socially optimal level at a growing number of locations.

Tourist taxes are small fees usually levied indirectly through accommodation providers such as hotels or through holiday companies that arrange all-inclusive packages for tourists. The taxes are typically aimed at overnight visitors. The number of places already collecting tourist taxes is growing. Table 4 shows a small number of such places in Asia where these taxes apply.

Table 4: Examples of tourist taxes in 2023

Country	Details of tourist tax
Thailand	€8 per visit
Indonesia (Bali only)	€9 per visit
Japan	€8 departure tax
Malaysia	€4 per night

Note: The euro (€) is the common currency of most EU countries. The exchange rate between the euro and the Singapore dollar (S$) was approximately 1€ to S$1.45 in 2023.

Source: Wright R. Euronews, 9 January 2023

Bhutan has an alternative approach. Rather than a tourist tax, it requires visitors to spend at least the equivalent of €250 per day.

The purpose of these taxes is to reduce the negative effects of high volumes of tourists. These taxes can be seen as a type of 'green tax', especially if the tax revenue raised is being spent to protect natural resources and wildlife or repair damage caused by tourists.

Local residents in popular tourist destinations are affected in many ways. For example, the noise and disruption that results from overcrowding, higher rents and inflated prices in restaurants and shops, pressure on public services and the diversion of water from agriculture to tourist hotels. The result is that in recent years, there has been a growing opposition to certain types of tourism.

Collecting tourist taxes is not a difficult process. Taxes can be adjusted for different types of travellers and the costs and benefits they bring. Variations can be made for peak and off-peak seasonality; it is therefore clear why some destinations have opted to levy tourist taxes.

2 **(a)** With reference to Table 3, calculate the relative fall in international tourist arrivals for the various countries between 2019 and 2022 and identify the country that has the largest relative fall. [2]

(b) Using Extract 5, explain **one** demand or supply factor for the slower recovery in international tourist arrivals in ASEAN economies compared to Western Europe and North America in 2022. [2]

(c) Using Extract 6, explain how television programmes might be used to reduce market failure that arises from international air travel. [6]

(d) According to Extract 7, the tourism multiplier for an entire country is lower than the multiplier for a specific tourist-dependent village in a country.

Explain **one** possible reason for such a difference. [2]

(e) Discuss whether taxing international visitors is the best way of controlling the flow of international tourists into ASEAN countries. [8]

(f) A low-income ASEAN country plans to attract more international tourists.

Discuss the factors that a government might consider in deciding whether this plan would be beneficial for the country. [10]

[Total: 30]